

CHAROTAR UNIVERSITY OF SCIENCE AND TECHNOLOGY (CHARUSAT)
FACULTY OF MANAGEMENT STUDIES (FMS)
BACHELOR OF BUSINESS ADMINISTRATION (BBA PROGRAMME)
SEMESTER – V, UNIVERSITY EXAMINATION, NOVEMBER-2019
BM302.1 STRATEGIC MANAGEMENT

Date: 05/11/2019, Tuesday

Time: 10:00 AM to 10:30 AM

Total Marks: 15

Student's ID No.									
Student's Name: _____									
Student's Sign : _____									
Supervisor's Name : _____									
Supervisor's Sign: _____									

Important Instructions:

- All questions are compulsory.
- Section-I is a closed book examination.
- There are two sections in the question paper. Section – I contains Q. No.: 1 which is of 15 marks and Section – II contains total five questions wherein Q. No.: 2 to 5 are of 10 marks each and Q. 6 is a Case study of 15 marks.
- Section – I should be answered in the given question paper and Section – II should be answered in a separate answer book.
- Maximum time allotted for Section – I is 30 minutes. Answer Book for Section – II will be given when the Question Paper for Section – I is returned. However, candidates who complete Section – I earlier than 30 minutes, can collect Answer Book for Section – II immediately after handing over Section – I question paper.
- Figures on the right indicate marks for each question.

SECTION – I

Q.1 Objective Type Questions:

A) Match the following: (i – vi)

15

06

Q. No.:		Probable Answer Keys		Write Answer Here
i.	Strategy used for expansion into new products and markets	a)	Concentration	i. ____
ii.	Translation of chosen strategy into organizational action	b)	Growth Strategy	ii. ____
iii.	Focusing on a primary line of business and increasing the number of products offered or markets served.	c)	Renewal Strategy	iii. ____
iv.	Developing strategies to counter organization weaknesses that are leading to performance declines.	d)	Ansoff's Approach	iv. ____
v.	Returns in excess of what an investor expects to earn from other investments with similar risk	e)	Above Average Returns (ARR)	v. ____
vi.	Overall Cost Leadership	f)	Strategic Management	vi. ____
		g)	Consolidation	
		h)	Strategy Implementation	
		i)	Michael Porter's Approach	
		j)	Vision & Mission	

B) Multiple-Choice Questions (vii – ix) (Note: Encircle the correct answer)**03**

- vii.** Selling of a company's assets in parts for their tangible worth is called:
- a) Divestiture
 - b) Concentric Diversification
 - c) Liquidation
 - d) Unrelated Integration
- viii.** Buying another company by one company means:
- a) Joint Venture
 - b) Acquisition
 - c) Amalgamation
 - d) Merger
- ix.** Low Cost, Differentiation and Focus are examples of:
- a) Corporate Strategies
 - b) Operational Strategies
 - c) Business Strategies
 - d) Functional Strategies

C) Fill-in the Blanks (x – xii) You may choose from the following answers:**03**

Stability Strategy	Style	Entrepreneurial	Expansion Strategy	Shared Values	Structure
-----------------------	-------	-----------------	-----------------------	------------------	-----------

- x.** If the "Performance Gap" is narrow then _____ would seem to be a feasible alternative.
- xi.** Strategy is developed by the visionary chief executive in _____ mode of strategic management.
- xii.** _____ are the norms and standards that guide employee behavior and company actions and thus, are the foundation of every organization.

D) True or False (xiii – xv) (Note: Encircle the correct answer)**03**

- xiii.** Strategic management includes a process by which organizations analyze and learn from their internal and external environments.
(True) or (False)
- xiv.** Environmental determinism is the view that good management is associated with determining which strategy will best fit the environment and then carrying it out.
(True) or (False)
- xv.** Strategic thinking deals with the rigid and systematic parts of the strategic management process.
(True) or (False)

CHAROTAR UNIVERSITY OF SCIENCE AND TECHNOLOGY (CHARUSAT)
FACULTY OF MANAGEMENT STUDIES (FMS)
BACHELOR OF BUSINESS ADMINISTRATION (BBA PROGRAMME)
SEMESTER- V, UNIVERSITY EXAMINATION, NOVEMBER-2019
BM302.1 STRATEGIC MANAGEMENT

Date: 05/11/2019, Tuesday

Time: 10:30 AM to 1:00 PM

Total Marks: 55

Note: - (i) All questions are compulsory.

(ii) This section is an open book examination.

(iii) There are two sections in the question paper. **Section – I** contains Q. No.: 1 of 15 marks and **Section – II** contains total five questions where in Q. No.: 2 to 5 are of 10 marks each and Q. 6 is a Case study of 15 marks.

(iv) **Section – I** should be answered in the given question paper and **Section – II** should be answered in a separate answer book.

(v) Maximum time allotted for **Section – II** is 150 minutes.

(vi) Figures on the right indicate marks for each question.

SECTION – II

Q.2 Case / Article # 1

10

Tangy spices Ltd, the countries' biggest spices marketer has decided to launch a hostile bid for Italy's major spice marketer Chilliano. This is a rare case of an Indian company making an unsolicited hostile bid for a foreign company. The Tangy Spices Ltd. has competencies in Indian spices. The major destination markets for the Tangy spices Ltd. exports have been the Europe and America. The competencies of Chilliano lie in Italian herbs and spices. The Indian company with the takeover wishes to synergies its operations in the world market. It also wants to take advantage of the reach enjoyed by the Italian company in several countries where its products are not being sold presently.

The move of hostile takeover follows Chilliano's rejection to an agreement entered a year back. At that time Chilliano was suffering losses and it offered majority shares at a price of € 2.25. A total of 20% shares were transferred at that time. In one year Chilliano was able to turnaround its operations and the company made handsome profits in the last quarter. The promoters who have residual holding of 35% in the company are reluctant to transfer the shares now. They have rejected the agreement with a plea that the earlier offer price was not sufficient.

Tangy spices Ltd has revised its offer to € 2.95. By this lucrative offer some of the large shareholders of Chilliano reveal their interest for selling their stakes. On the other hand, promoters maintained their position on this matter. Through the process of buying of shares in the market the Tangy spices Ltd. gradually consolidated its holding in Chilliano to 45%. Being a major shareholder they were ready for a takeover. At the same time, Tangy spices Ltd. was trying hard to improve their position so that they do not leave any space for Chilliano's promoters in future.

Source: (Extract from <https://www.caclubindia.com/forum/case-studies-for-strategic-management-ipcc-126348.asp>, accessed on: 14/10/2019)

Based on the above Case / Article # 1, you are required to answer the following question (Q.2):

What Strategic Alternative(s) is/are followed by Tangy Spice Ltd.? Discuss each alternative strategy with relevant examples.

OR

Q.2 "Porter refers to certain forces as the micro environment, to contrast it with the more general term macro environment. They consist of those forces close to a company that affect its ability to serve its customers and make a profit. A change in any of the forces normally requires a business unit to re-assess the marketplace given the overall change in industry information. The overall industry

10

attractiveness does not imply that every firm in the industry will return the same profitability. Firms are able to apply their core competencies, business model or network to achieve a profit above the industry average.” Analyze the statement and explain the Porter’s Five Force Model industry analysis.

Q.3 Case / Article # 2

10

Mahindra & Mahindra on Tuesday formed a joint venture (JV) with Ford Motor Company after buying a 51 per cent stake in the Indian unit of the US auto major. The venture will manage Ford’s Indian operations. Earlier in the day, shares of M&M jumped 1.7 per cent amid rumours of JV formation with Ford.

“M&M has executed a business transfer agreement and share subscription agreement to enable the formation of a joint venture by way of the company and/or its subsidiaries acquiring 51 per cent of the equity share capital of Ardour Automotive, presently a wholly-owned subsidiary of Ford in India,” the Indian company said a release. The completion of the transaction is expected to take place by the mid of 2020. The likely equity value for M&M’s 51 per cent stake will be Rs 657 crore.

“The company is committed to fund in the aggregate, for acquiring 51 per cent stake and for the future operations of the company, an amount not exceeding Rs 1,400 crore (which includes the likely investment of about Rs 657 crore for 51 per cent of the Purchase Price as mentioned above),” the Mahindra said. Ford will transfer its India operations to the joint venture, including its personnel and assembly plants in Chennai and Sanand.

However, Ford will retain its engine plant operations in Sanand as well as the global business services units, Ford Credit and Ford Smart Mobility. “Our combined strengths – Mahindra’s expertise in value-focused engineering and its successful operating model, and Ford’s technical expertise, global reach and access to future technology – are a potent recipe for success. At its core, the partnership will be driven by the shared values of both companies, which are focused on caring for our customers, associates and our communities,” said Anand Mahindra, Chairman, Mahindra Group. Ford has had a little success in competitive Indian market in India. With this move, it has ceased almost all standalone operations in India.

Source:(<https://economictimes.indiatimes.com/markets/stocks/news/mm-forms-jv-with-ford-picks-51-stake-in-indian-unit/articleshow/71394174.cms>, **accessed on:** 14/10/2019)

Based on the above Case / Article # 2, you are required to answer the following question (Q.3):

Explain the considerations and stages involved in Merger and Acquisition with context of the given article.

Q.4 Case / Article # 3

10

In 1982, Johnson & Johnson's Tylenol medication commanded 35 per cent of the US over-the-counter analgesic market - representing something like 15 per cent of the company's profits. Unfortunately, at that point one individual succeeded in lacing the drug with cyanide. Seven people died as a result, and a widespread panic ensued about how widespread the contamination might be. By the end of the episode, everyone knew that Tylenol was associated with the scare. The company's market value fell by \$1bn as a result. When the same situation happened in 1986, the company had learned its lessons well. It acted quickly - ordering that Tylenol should be recalled from every outlet - not just those in the state where it had been tampered with. Not only that, but the company decided the product would not be re-established on the shelves until something had been done to provide better product protection. As a result, Johnson & Johnson developed the tamperproof packaging that would make it much more difficult for a similar incident to occur in future.

Source:(<http://mallenbaker.net/article/clear-reflection/johnson-johnson-and-tylenol-crisis-management-case-study>, **accessed on:** 14/10/2019)

Based on the above Case / Article # 3, you are required to answer the following question (Q.4):

Perform Value Chain Analysis effectively for Johnson & Johnson's so as to avoid such crisis in future. What other alternatives should Johnson & Johnson adopt for successful crisis management?

OR

Q.4 “Aside from the company's internal resources and industry factors, there are several other macro-economic factors that can have a profound impact on the performance of a company. In particular situations such as new ventures or product launch ideas, these factors need to be carefully analyzed in order to determine how big their role in the organization's success would be.” Elucidate the statement on how does the Political, Economic, Social and Technological factors in the environment affects strategic planning along with relevant examples for each factor. **10**

Q.5 Case / Article # 4 **10**

Nike began taking a deep look at its operations in the early 1990s, after it faced a firestorm of criticism over labor practices at its Asian suppliers. The early efforts were siphoned to a team focused on compliance and social responsibility.

A turning point came when the team began to ask about the long-term implications of the company's product design and manufacturing decisions. Where did the product materials come from? Were they toxic? What happened at the end of a product's life? Looking into manufacturing, they found it took three shoes' worth of material to produce just two — one shoe, in effect, ended up as waste, at a cost of \$700 million a year. As a result, the goal of zero waste got the attention of senior managers. It became one of several long-term goals to reach by 2020 — along with zero toxic materials, closed loop systems and sustainable growth and profitability. Nike also created an in-house index to measure product design against these goals.

The company brought partners into the process, like Dow Chemical, DuPont and BASF, because it knew it could not achieve its goals without working within the supply chain. Then it began reinventing the design process. If the athletic shoe were streamlined to cut waste and material by reducing the number of components, production efficiencies could offset the cost of more sustainable materials.

Source:(Extract from <https://sloanreview.mit.edu/article/the-mini-cases-5-companies-5-strategies-5-transformations/>, accessed on: 14/10/2019)

Based on the above Case / Article # 4, you are required to answer the following question (Q.5):

Explain the business strategy that Nike might practice to solve the challenge of moving beyond “compliance” and capitalizing on sustainability by integrating it into the fabric of a company from design and manufacturing to the supply chain?

Q.6 Case / Article # 5 **15**

Scrapping Article 370 will bring in huge trade and business opportunities for Jammu & Kashmir and Ladakh but will also help get the troubled region to stand on its feet, said Sharad Kumar Saraf, president FIEO. He added that a new era of growth both for the people of Jammu & Kashmir and Ladakh region has begun.

Sarah said that this bold step taken under the dynamic leadership of Prime Minister Narendra Modi and Home Minister Amit Shah would allow flow of investments in into the state in sectors like tourism, real estate, carpets, handicrafts, sports goods, horticulture and food processing and will also help in promoting trade and commerce specially exports of these products and services from the region.

Jammu and Kashmir including Ladakh region are an area of strong potential for development as it enjoys a range of natural resources and immense talent. Strong and dedicated efforts from the government, trade and industry including handholding of local businesses is the need of the hour today to further help to push its growth rate and create new jobs and livelihoods in the region said

Mr Saraf. This multiplier effect would increase the employment opportunities and contribute to India's overall prosperity and growth & development of the country.

Opportunities which exists in the other key sectors also includes pharmaceuticals, IT/ ITeS, electronics and leather, He said. Shortcomings with regard to post-harvest food processing of apples, saffron, almond, walnut and other fruits and dry fruits, as well as the acute lack of health care and educational facilities in the state mainly due to lack of private sector participation will soon be overcome by this bold step taken by the government. With this FIEO also plans to provide handholding to cater to the needs of the exporting community of both the region of J&K and Ladakh, he said.

Source: (Adopted and modified from The Economic Times, “Gateway of opportunities opens up for Trade and Investment in J&K and Ladakh post revoking of Article 370: FIEO President”, Madhvi Sally, Aug 07, 2019, **accessed on:** 02/09/2019)

Based on the above Case / Article # 5, you are required to answer the following question (Q.6):

Assume that a company wants to establish “Apple Processing Plant” in J&K and in anticipation of the growing opportunities perform SWOT Analysis and outline the strategies for successful implementation.